

Research Briefing | Eurozone

Spain leaves Italy in the rearview mirror

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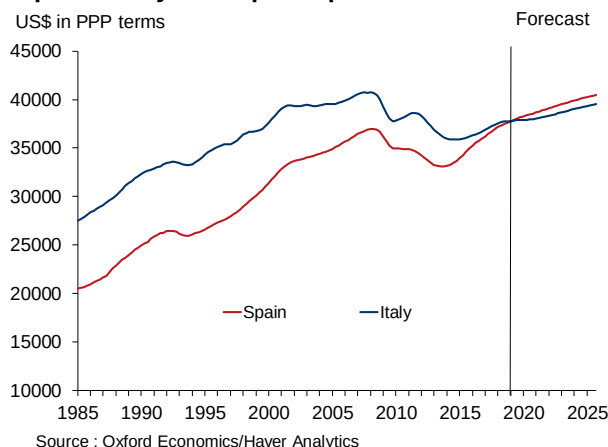
- Although often grouped together as troubled periphery economies, Spain and Italy have long displayed markedly different dynamics. Following years of stronger growth, Spain has now surpassed Italy in GDP per capita terms. We do not expect this gap to close again, as Spain's potential growth will continue to be well above that of its peer.
- Spain has experienced a sustained increase in productivity, while Italian output per hour has stagnated in the past two decades. The restructuring and recapitalisation of the Spanish banking system in 2012 set the stage for a strong capex cycle. And while the Italian banking sector is finally dealing with its non-performing loans, credit remains highly vulnerable to the evolution of yield spreads given Italian banks' large exposure to public debt.
- Italy's massive public debt acts as a permanent anchor, greatly limiting the country's fiscal space, but our analysis shows both countries have adopted a similar fiscal stance from a structural budget point of view. Therefore, different demand policies do not appear to explain the gap in performance.

For the first time in recent history, Spain became richer than Italy last year (**Figure 1**). More importantly, we expect that this gap will not close again given our estimates of potential growth, which is roughly twice as high in Spain owing to better demographics and much higher levels of capital accumulation.

When both countries joined the euro in 1999, Italy's per capita GDP (in PPP terms) was more than \$6,000 above that of Spain. But Italy's economic paralysis over the past two decades marks a complete divergence with the evolution of the Spanish economy, which despite its boom-and-bust cycles has managed to overtake its Mediterranean rival.

Figure 1: Spain now richer than Italy in PPP terms

Spain & Italy: GDP per capita



Last year, Spain's GDP per capita in PPP terms surpassed Italy's for the first time, and we expect this gap to continue to widen over the next decade.

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Two countries, two very different growth paths

Spain and Italy saw similar growth paths following the recessions of 2008-09 and 2012-13, but their fortunes have gone separate ways in recent years. [Back in 2016](#), we warned that the divergence between the two would continue to widen. The gap in GDP growth between the two has since increased by 5 percentage points and is up 12pp since 2014 (**Figure 2**). If we go back further to the inception of the euro in 1999, the difference in performance between the two economies surges to 40%, although this partly reflects Spain's over-inflated growth during its pre-crisis bubble period. A more telling statistic is that by the end of 2019, the Italian economy was roughly the same size as in the early-2000s, highlighting the permanent stagnation of an economy stuck in a bad equilibrium over the past two decades.

Gap closes as productivity catches up

One of the clearest signs of convergence between two economies is a catch-up in productivity levels, and this is exactly what has happened in the past 15 years. By the mid-2000s, Italian output per hour was almost 20% higher than in Spain, but the gap has now virtually closed (**Figure 3**), as Italian productivity has stagnated. This reflects several factors. The internationalisation of the Spanish economy brought a large increase in the number of exporting companies, which are typically more productive. Also, the relative improvement in educational levels in the labour force has been larger in Spain. This can be seen in alternative indicators such as educational [PISA scores](#), where Spain ranks better than Italy.

Following the Spanish government's request to the EU for financial assistance to help shore up its banking system in 2012, the stock of non-performing loans has been steadily declining (**Figure 4**). The Spanish banking sector also increased its resilience following large-scale consolidation and the creation of *Sareb*, a bad bank that absorbed €50bn of troubled assets from banks, thereby helping to clean up their balance sheets. Italy finally tackled its own NPL problem in 2016 through the establishment of the public-guarantee GACS scheme and the *Atlante* fund. As a result, Italy has seen a substantial decline in its NPL ratios as well, although they still remain above Spain's. However, credit flows in Italy continue to be subject to the evolution of yield spreads owing to banks' large exposure to sovereign debt. This was shown by the collapse in corporate lending in 2018, when bond yields surged on political instability.

Figure 2: Spain's economy has grown 12% more than Italy since 2014

Spain & Italy GDP

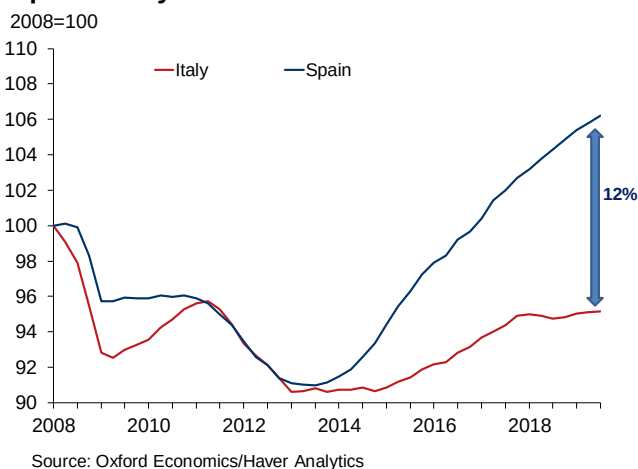


Figure 3: Spanish productivity has caught up with Italy's over past decade

Productivity: Output per hour

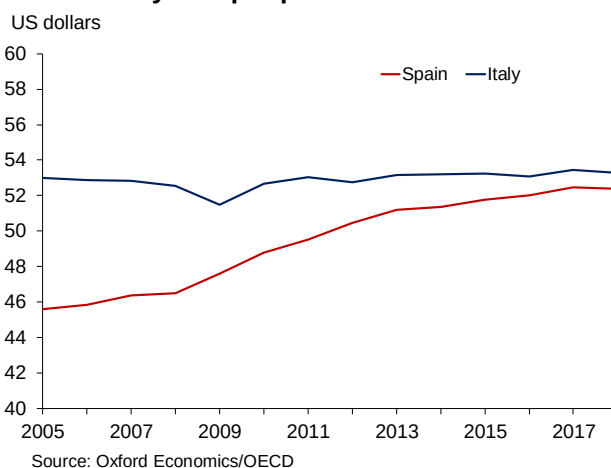
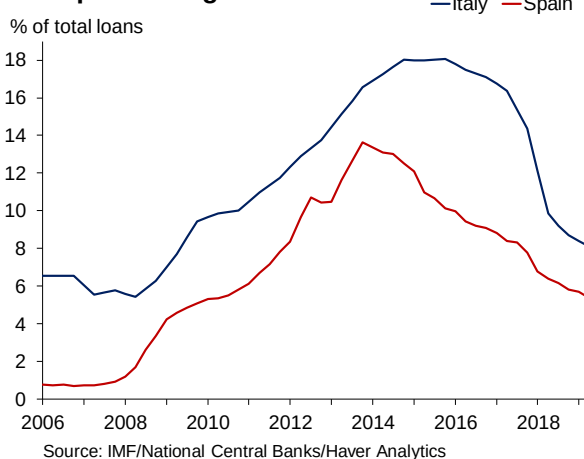


Figure 4: Years on, Italy is finally reducing its NPL problem

Non-performing loans



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We think that the different relative strengths of the financial system in both countries help to explain the large differences in their investment performance. Business investment in Italy is still lower than it was two decades ago (**Figure 5**), whereas in Spain, a strong capex cycle has been a key element of the current expansionary cycle. Although credit flows to the private sector have been similar in both countries, we think that the different levels of investment reflect in part the quality of that credit. Diverging economic prospects and institutional set-ups are also reflected in large differences in the levels of foreign direct investment, which have been consistently much higher in Spain. Spain is generally perceived as a more attractive investment destination, as shown by broader measures such as the [Ease of Doing Business](#) indices, where it ranks well above Italy. And despite both countries experiencing a similar political paralysis over the last few years, Spain continues to be perceived as a more stable country than Italy.

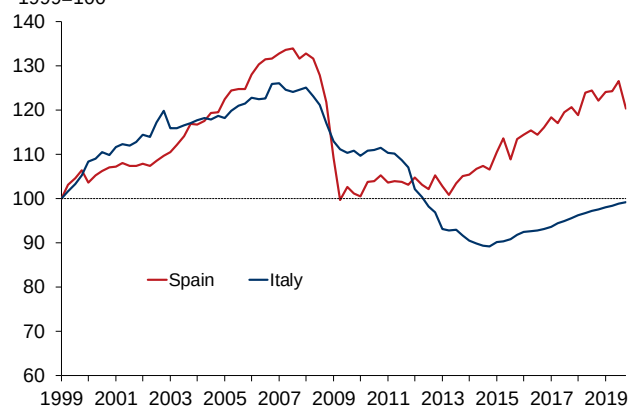
Fiscal policy does not seem a key factor

The issue of Italy's massive stock of public debt is well known. At 135% of GDP, it is one of the largest in the world in both percentage of GDP and nominal terms. This has forced Italy to be one of the most fiscally disciplined countries in Europe, routinely recording primary balance surpluses over the past two decades. In contrast, Spain's fiscal balance has been consistently in the red for over a decade despite much stronger economic growth. However, when we analyse both countries' fiscal stances from the point of view of changes in structural balances – which strip out the cyclical elements – we find them to be similar over the past decade (**Figure 6**). Thus, we do not find evidence that substantial differences in fiscal policy explain the difference in performance from the aggregate demand side. A more likely explanation could be that differences in the type and quality of spending – for instance, Spain has extensively overhauled its infrastructure system, while Italy has focused on increasing current expenditures – have made a substantial difference in the supply side.

Even observing the labour market – Spain's perennial Achilles' heel – things appear better for Spain when we look beyond the headline unemployment figures. Although the jobless rate still sits at 13.8% compared to Italy's 9.8%, the Spanish labour market looks healthier when we shift to alternative measures such as employment ratios (**Figure 7**) or participation rates, which are both higher than in Italy.

Figure 5: Italy's business investment remains at levels seen 20 years ago

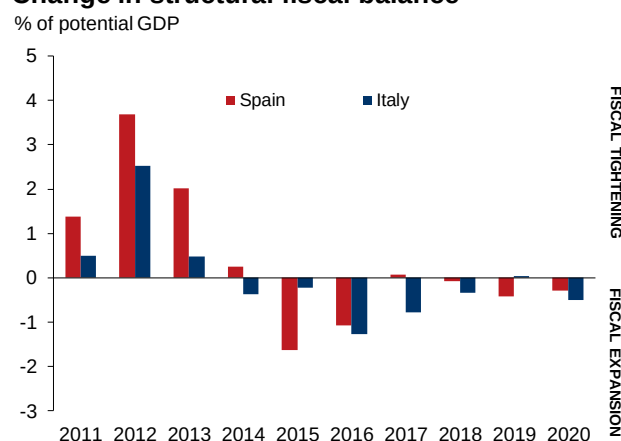
Spain & Italy: Private investment (ex-construction)
1999=100



Source: Oxford Economics/Haver Analytics

Figure 6: Structural fiscal balances show both countries have had a similar fiscal stance

Change in structural fiscal balance

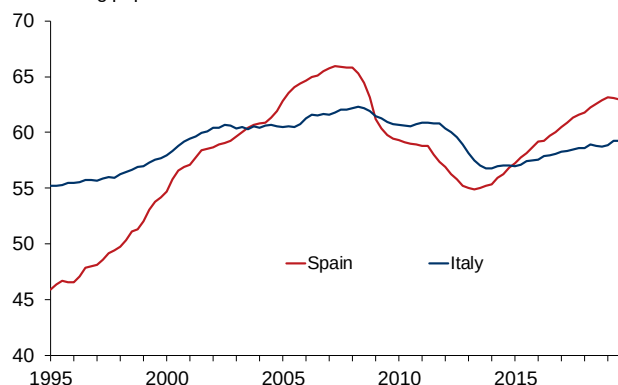


Source: Oxford Economics/Haver Analytics

Figure 7: Despite its higher unemployment rate, Spain has a higher employment ratio than Italy

Spain & Italy: Employment ratio

Employment as percentage of working population



Source: Oxford Economics/Haver Analytics

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Although this is hardly an endorsement for Spain, which continues to suffer from one of the most dysfunctional labour markets in the developed world, it does highlight the limitations of focusing entirely on the unemployment rate as a sole gauge of labour market strength.

There is no going back

Compared to the euro area average, Spain experienced a strong rise in relative income during the 1990s. It was partially reversed during the Great Recession and then resumed in the years after, reflecting the highly cyclical behaviour of the economy. In Italy's case, the decline has been in place for decades and will continue over the coming decades (**Figure 8**), reflecting the fact that it is a process which is structural in nature.

Our forecasts do not see this gap ever closing again, as Spain's potential growth rate will continue to be higher. But ultimately, this is a story about Italy's perennial stagnation. It is not only Spain becoming comparatively richer – our projections see several Central and Eastern European states surpassing Italy in per capita income terms over the coming years as well. While the negative demographic profile plays an important role, this is by no means an exclusively Italian problem. It is shared by all Southern European economies (we will address this in more detail in a forthcoming *Research Briefing*).

Rather, low productivity and a near complete absence of capital accumulation as a result of the poor institutional quality, cumbersome bureaucracy and permanent political instability are the particular trademarks that will keep Italian potential growth capped at 0.5% in the long term (**Figure 9**). Nevertheless, an increase in the contribution of labour seems unavoidable if Italy wants to see its potential output improving over the next decade. However, stronger net migration is not likely to occur as long as the country remains in perennial stagnation. Increasing the participation rate – which remains one of the lowest in the eurozone – will require structural reforms and legislation changes, while raising the fertility rate will likely need substantial government support. None of these things seem likely to occur, and in any case, it typically takes a very long time before the effects of such policies are seen.

Figure 8: Italy's relative income has been declining for decades

Spain & Italy: Relative income

GDP per capita in PPP terms as percentage of euro area average

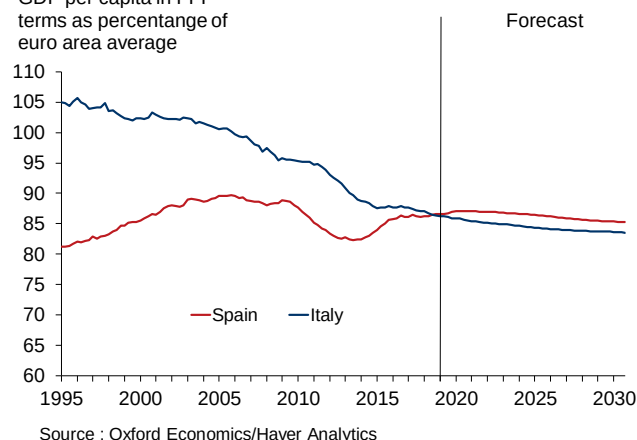


Figure 9: Italy's potential growth to remain extremely low

Italy: Potential growth (2020-2030)

